

UniNotes

ECONOMICS

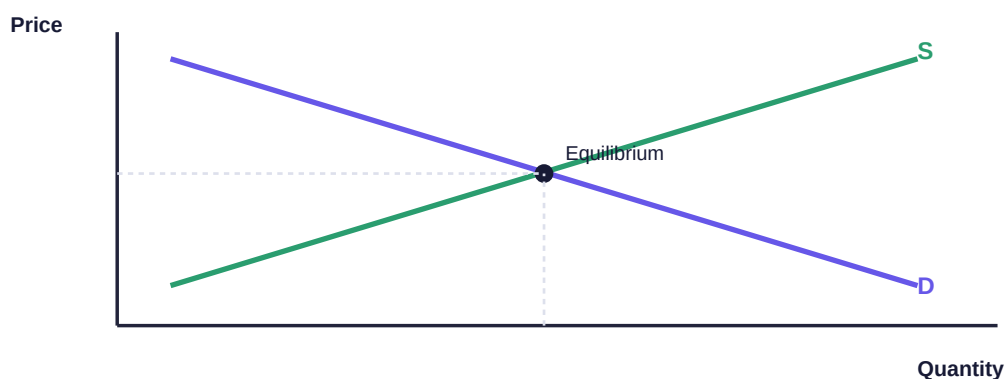
Microeconomics Exam Notes

Demand, supply, equilibrium, elasticity and market intervention for fast exam revision.

How to use these notes

Start with the key definitions, then use the tables/diagrams to connect ideas. Finish with the exam checklist. The aim is high information density: short wording, clear concepts, no filler.

1. Demand, supply and equilibrium



Demand shows the quantity consumers are willing and able to buy at different prices, *ceteris paribus*. Supply shows the quantity producers are willing and able to sell. Equilibrium occurs where quantity demanded equals quantity supplied.

2. Movement vs shift

Own price changes	Movement along existing demand/supply curve.
Income/preferences/population/substitutes/complements	Can shift demand.
Input costs/technology/taxes/subsidies/number of firms	Can shift supply.

3. Elasticity

Price elasticity of demand (PED) = % change in quantity demanded / % change in price. $|PED| > 1$ = elastic; $|PED| < 1$ = inelastic; $|PED| = 1$ = unit elastic.

Income elasticity of demand (YED) identifies normal goods (positive YED) and inferior goods (negative YED). Cross elasticity (XED) is positive for substitutes and negative for complements.

4. Consumer/producer surplus

Consumer surplus is the difference between willingness to pay and the market price. Producer surplus is the difference between market price and the minimum price producers would accept. Competitive equilibrium can maximise total surplus under standard assumptions.

5. Government intervention

Indirect tax	Raises firms' costs; supply shifts left/up; price tends to rise.
Subsidy	Lowers effective costs; supply shifts right/down.
Price ceiling	Below equilibrium can create shortage.
Price floor	Above equilibrium can create surplus.

Exam chain

For a policy question: identify the curve affected -> direction of shift -> new equilibrium price/quantity -> impact on consumers/producers/government -> possible unintended effects.

Exam-ready checklist

- Draw and label demand/supply equilibrium.
- Distinguish movement along a curve from a shift.
- Calculate and interpret PED.
- Explain tax/subsidy effects through supply.
- Use a clear chain of economic reasoning rather than isolated statements.

Fast recall

If you cannot explain a concept in one or two sentences without looking, revisit that section. Aim to recall the definition, mechanism and one example.

Uni Notes keeps revision focused: concise explanations, useful detail, and diagrams only where they improve understanding.